

Unit 3 – Section 2: Business Growth

Mixed Topic Practice Questions

4-Mark Questions

1. Define the term economies of scale.
2. Explain one benefit of business growth.
3. Define organic growth.
4. Explain one difference between organic and external growth.
5. Explain one reason why a merger may occur between two businesses.
6. Explain one potential drawback of a takeover.
7. Explain one reason why a business might choose to remain small.

8-Mark Assess Questions

8. Assess the benefits of achieving economies of scale for a large business such as Tesco.
9. Assess whether organic growth is a more sustainable form of expansion than mergers.
10. Assess the impact of diseconomies of scale on a growing multinational business.
11. Assess the benefits and drawbacks of horizontal integration for firms such as Amazon.
12. Assess whether small businesses can compete effectively with larger firms.
13. Assess how remaining small may benefit businesses such as Lush or BrewDog.

12-Mark Discuss Questions

14. Discuss whether mergers and takeovers always lead to success for the businesses involved.
15. Discuss whether internal (organic) growth is better than external (mergers/takeovers) for long-term success.
16. Discuss whether businesses should aim to grow rapidly or steadily over time.
17. Discuss the extent to which remaining small can be a competitive advantage in niche markets.
18. Discuss whether diseconomies of scale outweigh the benefits of expansion.

20-Mark Evaluate Questions

19. Evaluate whether growth always improves efficiency and profitability in large firms.
20. Evaluate the extent to which synergy from mergers leads to long-term success.
21. Evaluate whether organic growth is the most effective strategy for sustained competitive advantage.
22. Evaluate whether remaining small can be more successful than growing large in the long term.
23. Evaluate whether diversification through takeovers is more beneficial than focusing on core business strengths.

Student Reflection & Self-Review

After each response:

- Identify the model/theory applied (e.g., economies of scale, synergy, organic growth).
- Highlight evaluation phrases (“depends on”, “in the long term”, “to a greater extent”).
- Write a one-sentence final judgement for every 12- or 20-mark question.